

unlikely event. These two lines may be considered predictive only in that if the Dow were to stage an orgasmic surge above the longer term lines, one of them would probably stop the advance.

Evidence presented in Chapter 4 argues that the Dow should register its final high this year, in 1995. An alternative consideration is the wave labeling shown in Figure 2-9, which implies waves (4) and (5) left to go. A delay of several years would serve to extend the lower resistance line in Figure 2-6 into the range of the resistance line in Figure 2-5. A drop below 3000 will eliminate this count from consideration. Despite the effort put into this discussion, the exact level of the ultimate top is of little importance compared to the overall message that the most important trend change in modern times is due, awaiting only a final extreme of stock market valuation and a reversal.

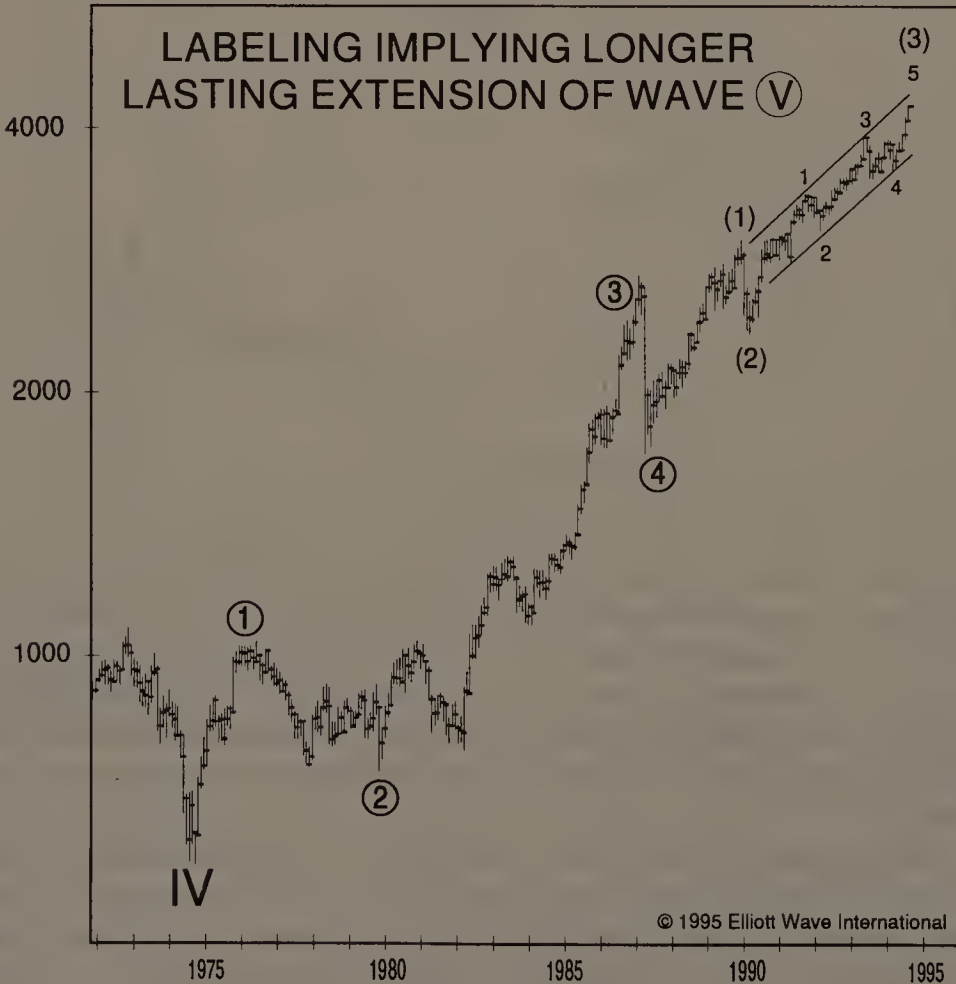


Figure 2-9